



INDIAN INSTITUTE OF MANAGEMENT RANCHI

MASTER OF BUSINESS ADMINISTRATION (MBA)

AY 2026-27

CORE

COURSE NAME: MACROECONOMICS

TERM: II

CREDITS: 3

FACULTY DETAILS

Name	Faculty Office Address	Email
Dr. John Kujur	Kanhu Block, Room No. 502	john.kujur@iimranchi.ac.in
Dr. Amarendu Nandy	Birsa Munda Block, Room No. 409	amarendu@iimranchi.ac.in

CONSULTATION TIME FOR STUDENTS:

Name of the faculty	Timing
Dr. John Kujur	By appointment
Dr. Amarendu Nandy	By appointment

COURSE DESCRIPTION

This course is intended to provide an understanding of how the aggregate economy functions. It will introduce students to the definition and measurement of aggregate variables, such as income and expenditure, and develop a conceptual framework explaining their determinants. Should the government intervene in the economy? Under what conditions is such an intervention productive? The course will attempt to answer these questions by analysing the role of government in relation to monetary, fiscal, and foreign exchange rate policies.

COURSE OBJECTIVE

This course aims to enable participants to assess the macroeconomic environment in which a business operates. This course is designed to provide a general understanding of four sectors and three markets, which cover central elements of macroeconomics. These four sectors include firms, business, government, and foreign sectors, while the three markets include commodity or goods, factor or resource, and financial markets.

CLO – PLT – ASSESSMENT TOOL MAPPING:

Course Learning Outcome (CLO)	Program Level Trait (PLT)	Assessment Tool(s)
CLO 1: Use macroeconomic models/tools to explain the behavior of the economy to address the relationships between various macroeconomic parameters like inflation, exchange rate, the balance of payments, the labour market, and economic growth. These tools will help students identify solutions to complex business problems.	Students should be able to apply appropriate methodologies to solve different business problems. (T4)	WAI
CLO 2: Apply macroeconomic tools and techniques in anticipating changes in the global and immediate macroeconomic environment to make effective business decisions.	Students should be able to identify the causes of the complexities arising from international business. (T11)	End Term
CLO 3: Understand the impact of various macroeconomic policies and/or interventions initiated by the Government/Central Bank on the economy as a whole and individual businesses in particular.	Students should be able to learn different methodologies. (T3) Students should be able to diagnose complex business problems. (T1)	Quiz

PRESCRIBED TEXTBOOKS:

Mankiw, Gregory N. (2025), 'Macroeconomics', 12th Edition (eBook), Macmillan Learning (Worth) (e-ISBN: 9781319590703).

EVALUATION SCHEME:

Evaluation Components as per Program Manual Rules	Detail	Weightage (%)
Working With AI (WAI)	AI-based Assignment	25%
End Term Exam	Closed-book exam	40%
Quizzes* (1 quiz of 15%; 2 quizzes of 10%, of which the best of 2 will be taken)	Individual assessment	25%
Attendance	Attendance	10%
Total		100%

WAI ASSIGNMENT DETAILS:

- The purpose of the AI Assignment is to apply AI to understand macroeconomic issues and AI's impact on macroeconomic factors.
- The WAI assignment will focus on contemporary macroeconomic issues with clear implications for business decision-making, such as *inflation and interest-rate dynamics, employment and labour-market conditions, GDP growth and business cycles, savings and investment trends, fiscal and monetary policy, exchange-rate movements, external-sector developments, and productivity or structural-growth challenges*.
- Students are expected to analyze the selected issue using current data from authoritative sources such as the Economic Survey, Union Budget, RBI Database on Indian Economy/Handbook of Statistics, MoSPI/NSO, PLFS, IMF, World Bank, and other relevant official databases. The assignment involves the submission of a project report (in MS Word format).
- Plagiarism in any form is strongly discouraged.

WAI ASSESSMENT RUBRIC

Criteria	Marks	Excellent	Good	Satisfactory	Needs Improvement
1. Macroeconomic Framing & Analytical Depth <i>Problem definition; economic framework; causal/transmission mechanism; company/industry context</i>	8	8–7: Precise decision question; appropriate macroeconomic model used correctly; transmission channels explicitly analysed; competing explanations and assumptions considered; strong integration of macroeconomics with the chosen business problem.	6.5–5.5: Clear problem and largely correct application of theory; good business linkage, though some channels or assumptions are insufficiently developed.	5–4: Relevant issue identified, but analysis is predominantly descriptive; macroeconomic concepts are mentioned rather than applied; weak causal reasoning or business linkage.	<4: Broad/generic topic; little or incorrect macroeconomic analysis; no clear decision problem or meaningful application of course concepts.
2. Current Evidence, Empirical Analysis & WAI Verification <i>Quality of data; analysis/visualisation; AI use; verification and source discipline</i>	9	9–8: Latest relevant data from authoritative primary sources; original and analytically meaningful charts/tables/calculations; evidence used to test arguments; AI use is purposeful and documented; factual claims, calculations and references independently verified; clear evidence of critical judgement toward AI output.	7.5–6.5: Good current evidence and competent analysis; appropriate AI use and verification, with only minor weaknesses in data depth, reproducibility or critical evaluation.	6–5: Limited or largely descriptive data use; excessive dependence on secondary sources; AI use documented only partially; verification process incomplete.	<5: Stale, inappropriate or unverified data; AI-generated statistics/references treated as evidence; little original empirical work; no meaningful WAI audit trail.
3. Business Implications,	8	8–7: Macroeconomic	6.5–5.5: Sound	5–4: Business implications	<4: Little managerial

Scenario Analysis, Recommendations & Communication <i>Business exposure; scenarios; recommendations; conclusion; presentation; references; WAI compliance</i>		findings translated into quantified or clearly demonstrated business consequences; credible baseline and alternative scenarios; recommendations are specific, feasible and logically derived from analysis; limitations recognised; professional presentation and referencing.	business implications and recommendations with reasonable scenario analysis, though quantification, prioritisation or limitations could be stronger.	are general; scenarios are weak or mechanical; recommendations are only loosely connected to evidence; adequate presentation.	relevance; unsupported or generic recommendations; no meaningful scenario analysis; weak organisation, referencing or WAI compliance.
Total	25				

SOFTWARE(S) USED (Yes/No) (If yes, please provide details): No

FIELD TRIPS / WORKSHOPS PLANNED (Yes/No) (If yes, please provide details): No

ACADEMIC MISCONDUCT: Please refer to the latest program manual (MBA/MBA-BA/MBA-HRM/IPM/MBA-Executive) provided to you.

ELEMENTS OF SOCIAL IMPACT IN COURSE CURRICULUM (Yes/No) (If yes, please mention session details/case details/other reading material details which has implications to social impact): No

DETAILED SESSION PLAN:

Session No.	Business Problem	Topic(s) & Discussion Question	Readings (Text Book, Articles, Cases)	Pre-Read
1.	How can a multinational firm use key macroeconomic indicators to improve strategic planning and investment decisions?	Topic(s): • Introduction and scope of macroeconomics • What is the relevance of macroeconomics in business? • Major macroeconomic issues? • The circular flow model of an economy • The interlinkage between an economy's income and expenditure • What is a business cycle? • Distinction between actual real GDP and potential real GDP? • Time horizons in macroeconomics Discussion question(s): • How can understanding macroeconomic indicators such as GDP growth, inflation, and unemployment help businesses make more informed strategic decisions?	Chapter 4, Pages: 78-103; Chapter 10, Pages: 237-255	Relevance of Macroeconomics and Macroeconomics related issues reporting by World Bank Group Link

Session No.	Business Problem	Topic(s) & Discussion Question	Readings (Text Book, Articles, Cases)	Pre-Read
		What role does government policy play in influencing macroeconomic conditions, and how should businesses adapt their strategies in response to these policies?		
2.	How should businesses interpret GDP estimates when different measurement methods produce discrepancies?	Topic(s): - Measuring a nation's output - The concept of Gross Domestic Product (GDP) - What are the components of GDP? - Methods of measuring GDP - Similarities and differences between the expenditure, value-added/ output/product, and income methods - How can a comparative analysis of the various methods be conducted using numerical examples?	Chapter 4, Pages: 78-103	The 20 countries with the largest gross domestic product (GDP) in 2024 Link

Session No.	Business Problem	Topic(s) & Discussion Question	Readings (Text Book, Articles, Cases)	Pre-Read
		Discussion question(s): • How do the expenditure, value-added, and income methods differ in their approach to measuring GDP, and what are the potential sources of discrepancies when using these methods? • How can businesses and policymakers use comparative analysis of GDP calculated by different methods to gain a more comprehensive understanding of economic performance and make better-informed decisions?		
3.	How can firms assess economic conditions when GDP alone does not fully capture income and living standards?	Topic(s): • Measuring the National Income (NI) of a country: From GDP to NI • Distinction between real and nominal GDP? • GDP deflator	Chapter 4, Pages: 78-103	Economists vs statisticians — the battle being fought over the soul of India's GDP data Link

Session No.	Business Problem	Topic(s) & Discussion Question	Readings (Text Book, Articles, Cases)	Pre-Read
		- Gross National Product (GNP) - What is the relationship between GDP & GNP? - The relationship between Market Price (MP) and Factor Cost (FC) - The relationship between GNP & NNP - What is NI? - What are Personal Income (PI), Personal Disposable Income (PDI) and Per Capita Income (PCI)? Discussion question(s): - How do GDP, GNP, and National Income (NI) differ in measuring a country's economic performance, and why might relying solely on GDP be misleading when assessing the well-being of citizens? - In what ways can Personal Income (PI), Personal Disposable Income (PDI), and Per		

Session No.	Business Problem	Topic(s) & Discussion Question	Readings (Text Book, Articles, Cases)	Pre-Read
		Capita Income (PCI) offer additional insights into the economic health of individuals within a nation, and how should these measures influence economic policy?		
4.	How should businesses assess market conditions when high GDP growth does not translate into broader improvements in welfare?	Topic(s): • GDP and welfare • What are the omissions in GDP measurement? • What are welfare considerations? • Discussion question(s): • What are the key omissions in GDP measurement that can lead to an overestimation or underestimation of a country's true economic welfare? • How can alternative indicators or adjustments to GDP be used to better reflect the welfare considerations of a population, and what	Chapter 4, Pages: 78-103	GDP Is Not a Measure of Human Well-Being Link

Session No.	Business Problem	Topic(s) & Discussion Question	Readings (Text Book, Articles, Cases)	Pre-Read
		implications does this have for policy-making?		
5.	How should businesses respond to high inflation while managing pricing, demand, and profitability?	Topic(s): - Measuring the general level of prices - What is inflation? - The measures of inflation - The costs of inflation Discussion question(s): - How do different measures of inflation, such as the Consumer Price Index (CPI) and Producer Price Index (PPI), reflect the general level of prices, and what are their limitations in capturing the true cost of living? - What are the various costs of inflation for businesses and consumers, and how can effective inflation management strategies mitigate these costs?	Chapter 4, Pages: 87-103	Food inflation: Why onion prices are making you cry Link

Session No.	Business Problem	Topic(s) & Discussion Question	Readings (Text Book, Articles, Cases)	Pre-Read
6.	How should businesses adjust demand forecasts when consumer spending falls and saving rises during an economic slowdown?	Topic(s): • The economy in the short-run: The Keynesian model • Components of Aggregate Demand (AD) • The consumption function • What is the distinction between the Average Propensity to Consume (APC) and the Marginal Propensity to Consume (MPC)? • The saving function • What is the distinction between the Average Propensity to Save (APS) and the Marginal Propensity to Save (MPS)? • What is the distinction between actual and planned spending? • The equilibrium in the economy Discussion question(s): • How do the concepts of Average Propensity to Consume (APC) and	Chapter 11, Pages: 256-265; Chapter 7, Pages: 165-168	Consumption and Savings Decisions of Households Link

Session No.	Business Problem	Topic(s) & Discussion Question	Readings (Text Book, Articles, Cases)	Pre-Read
		Marginal Propensity to Consume (MPC) influence consumer spending, and what implications do these have for businesses in terms of demand forecasting and strategy? How can discrepancies between actual and planned spending affect business operations and economic equilibrium, and what strategies can businesses employ to mitigate the risks associated with these discrepancies during economic downturns?		
7.	How should a firm assess the wider economic effects of a major investment through the multiplier process?	Topic(s): - The economy in the short-run: The concept of multiplier - What is the concept of the multiplier? - What is the multiplier effect? - Various types of multipliers?	Chapter 11, Pages: 256-265	Increased infra spend to have multiplier effect Link

Session No.	Business Problem	Topic(s) & Discussion Question	Readings (Text Book, Articles, Cases)	Pre-Read
		- How the equilibrium of the economy is affected by the multiplier effect? Discussion question(s): - How does the concept of the multiplier effect work in practice, and what types of multipliers (e.g., fiscal, investment) should businesses consider when planning significant investments? - In what ways can the multiplier effect alter the equilibrium of the economy, and how should businesses anticipate and respond to these changes to maximize the benefits of their investment?		
8.	How should a financial services firm assess the impact of changing interest rates on investment and loan demand?	Topic(s): - The IS-LM model: The IS curve - What is the IS curve? - How the IS is derived? - The slope of the IS curve - Shifts in the IS curve Discussion question(s):	Chapter 11, Pages: 256-278	

Session No.	Business Problem	Topic(s) & Discussion Question	Readings (Text Book, Articles, Cases)	Pre-Read
		- How is the IS curve derived, and what does its slope reveal about the relationship between interest rates and economic output? How can businesses use this understanding to make informed investment decisions? - What factors can cause shifts in the IS curve, and how should businesses prepare for and respond to these shifts in order to manage risks and capitalize on opportunities in the market?		
9.	How should a commercial bank respond to monetary-policy changes affecting interest rates and credit demand?	Topic(s): - The IS-LM model: The LM curve - Demand for money - Supply of money - Equation of Exchange and Quantity theory of money	Chapter 11, Pages: 256-278	Copies of the Resolution of the Monetary Policy Committee (MPC) Link

Session No.	Business Problem	Topic(s) & Discussion Question	Readings (Text Book, Articles, Cases)	Pre-Read
		• How the equilibrium interest rate is derived in the money market? • The LM curve • How the LM curve is derived? • What is the slope of the IS curve? • What causes a shift in the LM curve? • Equilibrium in the IS-LM model Discussion question(s): • How is the LM curve derived, and what does its slope indicate about the relationship between money supply, money demand, and interest rates? How can banks leverage this understanding to optimize their lending strategies? • What factors can cause shifts in the LM curve, and how should financial institutions		

Session No.	Business Problem	Topic(s) & Discussion Question	Readings (Text Book, Articles, Cases)	Pre-Read
		prepare for these changes to maintain equilibrium and remain competitive in the marketplace?		
10.	How should a construction firm assess the impact of fiscal stimulus, including multiplier and crowding-out effects?	Topic(s): - Fiscal and monetary policies using the IS-LM model: The IS curve and fiscal policy - Fiscal policy multipliers - How do we derive the fiscal policy multipliers? - What is the distinction between expansionary and contractionary fiscal policy? - The crowding-out effect of fiscal policy - When is fiscal policy effective, and when is it ineffective? Discussion question(s): - How do fiscal policy multipliers affect the economy, particularly in terms of influencing Aggregate Demand, and what are the	Chapter 11, Pages: 256-278	Crowding-Out or Crowding-In? Public and Private Investment in India Link

Session No.	Business Problem	Topic(s) & Discussion Question	Readings (Text Book, Articles, Cases)	Pre-Read
		implications for businesses in industries sensitive to government spending, such as construction? What is the crowding-out effect of fiscal policy, and under what conditions might fiscal policy be effective or ineffective? How should businesses assess the potential risks and opportunities arising from changes in government fiscal policy?		
11.	How should a retail firm respond to monetary-policy changes affecting consumer credit, spending, and financing costs?	Topic(s): - Fiscal and monetary policies using the IS-LM model: The LM curve and monetary policy - The loanable funds theory - Monetary policy multiplier - How do we derive the monetary policy multiplier?	Chapter 11, Pages: 256-278; Chapter 7, Pages: 168-173	Monetary Policy Of India: From types, tools and composition, details you need to know Link

Session No.	Business Problem	Topic(s) & Discussion Question	Readings (Text Book, Articles, Cases)	Pre-Read
		• Distinction between expansionary and contractionary monetary policy • What is the concept of the crowding-out effect of monetary policy? • When is monetary policy effective, and when is it ineffective? Discussion question(s): • How does the monetary policy multiplier influence interest rates and economic activity, and what are the potential implications for businesses that rely heavily on consumer credit and financing? • Under what conditions might monetary policy be effective or ineffective in stimulating or contracting economic activity, and how can businesses prepare for the crowding-out effect that might result from		

Session No.	Business Problem	Topic(s) & Discussion Question	Readings (Text Book, Articles, Cases)	Pre-Read
		changes in monetary policy?		
12.	How should a consumer-goods firm respond to fiscal and monetary policies that shift aggregate demand?	Topic(s): • The AD-AS model: The AD curve • The AD curve • How do we derive the AD curve from the IS-LM model? • Factors that shift the AD curve • Expansionary and contractionary monetary policy and the AD curve • How does expansionary and contractionary fiscal policy affect the AD curve? Discussion question(s): • How is the Aggregate Demand (AD) curve derived from the IS-LM model, and what factors are likely to cause shifts in the AD curve? How can companies use this understanding to forecast demand and	Chapter 12, Pages: 279-298; Chapter 13, Pages: 299-315	RBI monetary policy: Status quo on repo rate for 9th consecutive time - 5 key highlights from RBI MPC outcome Link

Session No.	Business Problem	Topic(s) & Discussion Question	Readings (Text Book, Articles, Cases)	Pre-Read
		adjust their business strategies accordingly? How do expansionary and contractionary fiscal and monetary policies affect the AD curve, and what should businesses anticipate in terms of changes in market conditions and consumer behavior as a result of these policy shifts?		
13.	How should a manufacturing firm respond to rising production costs and shifts in short-run aggregate supply?	Topic(s): - The AD-AS model: The AS curve - What is the AS curve? - The short-run AS (SRAS) curve - The models of AS Discussion question(s): - What is the short-run Aggregate Supply (SRAS) curve, and how do changes in production costs and other economic factors influence its shape and position? How should businesses prepare for	Chapter 12, Pages: 279-298; Chapter 13, Pages: 299-315	Disparate supply-side forces gave U.S. economy an edge Link

Session No.	Business Problem	Topic(s) & Discussion Question	Readings (Text Book, Articles, Cases)	Pre-Read
		potential shifts in the SRAS curve to manage costs and maintain profitability? How do different models of Aggregate Supply (e.g., Keynesian, Classical) explain the behavior of the AS curve in the short run, and what implications do these models have for business decision-making in a volatile economic environment?		
14.	How should a firm adapt wage and pricing decisions when aggregate supply is affected by wage, price, and expectation rigidities?	Topic(s): - The AD-AS model: The three models of aggregate supply - The sticky-wage theory - The sticky-price theory - The misperceptions theory Discussion question(s): - How do the sticky-wage, sticky-price, and misperceptions theories explain the behavior of	Chapter 12, Pages: 279-298	Sticky Wages Are Not Transitory Link

Session No.	Business Problem	Topic(s) & Discussion Question	Readings (Text Book, Articles, Cases)	Pre-Read
		the Aggregate Supply (AS) curve, and what are the potential impacts on business operations, particularly in terms of wage setting, pricing strategies, and market expectations? In what ways can understanding these theories help businesses develop more resilient strategies to manage costs, maintain pricing power, and respond effectively to shifts in aggregate demand and supply?		
15.	How should a logistics firm plan for demand changes arising from short-run and long-run economic fluctuations?	Topic(s): - The AD-AS model: Short-run v/s long-run and policy implication - Why the long-run AS (SRAS) curve is vertical? - Why the LRAS curve might shift? - Two causes of economic fluctuations - The effect of the shift of AD?	Chapter 12, Pages: 279-298; Chapter 13, Pages: 299-315	Nature and Causes of Economic Fluctuations Link

Session No.	Business Problem	Topic(s) & Discussion Question	Readings (Text Book, Articles, Cases)	Pre-Read
		- Effect of the shift of AS? Discussion question(s): - Why is the long-run Aggregate Supply (LRAS) curve vertical, and what factors could cause it to shift? How should businesses prepare for these long-term shifts to ensure sustainable growth? - How do shifts in Aggregate Demand (AD) and Aggregate Supply (AS) impact the economy in both the short-run and long-run, and what are the policy implications that businesses need to consider when planning for economic fluctuations?		
16.	How should a consumer-goods firm respond to the short-run trade-off between inflation	Topic(s): - The short-run trade-off between inflation and unemployment - What is the short-run Phillips curve?	Chapter 14, Pages: 316-344	Yes, There Is a Trade-Off Between Inflation and Unemployment Link

Session No.	Business Problem	Topic(s) & Discussion Question	Readings (Text Book, Articles, Cases)	Pre-Read
	and unemployment?	- The relationship between AD, AS, and the Phillips curve Discussion question(s): - What is the short-run Phillips curve, and how does it illustrate the trade-off between inflation and unemployment? How should businesses consider this relationship when making pricing and investment decisions in an inflationary environment? - How do changes in Aggregate Demand (AD) and Aggregate Supply (AS) influence the Phillips curve, and what implications does this have for businesses trying to balance pricing strategies with maintaining workforce stability?		

Session No.	Business Problem	Topic(s) & Discussion Question	Readings (Text Book, Articles, Cases)	Pre-Read
17.	How should a manufacturing firm respond to inflation, supply shocks, and changing inflation expectations?	Topic(s): • The short-run v/s long-run Phillips curve • The role of expectations in shifting the short-run Phillips curve • The role of supply shocks in shifting the short-run Phillips curve • What is the long-run Phillips curve? • What is the sacrifice ratio? Discussion question(s): • How do expectations and supply shocks shift the short-run Phillips curve, and what strategies should businesses employ to manage the impact of these shifts on inflation, unemployment, and overall production costs? • What is the long-run Phillips curve, and how does the concept of the sacrifice ratio relate to the trade-offs between	Chapter 14, Pages: 316-344	Is the Phillips Curve Still a Useful Guide for Policymakers? Link

Session No.	Business Problem	Topic(s) & Discussion Question	Readings (Text Book, Articles, Cases)	Pre-Read
		reducing inflation and sustaining employment levels? How should businesses factor in these long-term considerations when planning for future economic conditions?		
18.	How should a financial services firm adapt to monetary-policy changes driven by inflation expectations and disinflation objectives?	Topic(s): • The Phillips curve: Policy implications • What are rational expectations? • What is the role of rational expectations and the possibility of costless disinflation? • What is Taylor's rule? • What is inflation targeting? • What is nominal GDP targeting? Discussion question(s): • How do rational expectations influence the effectiveness of monetary policy, particularly in the context of achieving costless disinflation, and	Chapter 14, Pages: 316-344	Is Reducing Moderate Inflation Costly? Link The Role of Inflation Expectations in Monetary Policy Link

Session No.	Business Problem	Topic(s) & Discussion Question	Readings (Text Book, Articles, Cases)	Pre-Read
		what are the implications for businesses in terms of managing inflation-related risks? What is Taylor's rule, and how does inflation targeting guide central banks' monetary policy decisions? How should businesses incorporate these policy tools into their financial planning and risk management strategies?		
19.	How should an exporting firm manage pricing, investment, and risk amid exchange-rate and international capital-flow volatility?	Topic(s): - Open economy macroeconomics - Relationship between net exports and net capital outflow - Relationship between saving and investment in international flows - Balance of Payments (BoP) - Exchange rate	Chapter 9, Pages: 211-236	How balanced is the surplus Balance of Payments! Link

Session No.	Business Problem	Topic(s) & Discussion Question	Readings (Text Book, Articles, Cases)	Pre-Read
		• What is the distinction between real and nominal exchange rates? • How exchange rate is determined? • Distinction between Purchasing Power Parity (PPP) and Interest Rate Parity Discussion question(s): • How do net exports and net capital outflows interact in an open economy, and what implications do these relationships have for businesses involved in international trade and investment? • What are the distinctions between real and nominal exchange rates, and between Purchasing Power Parity (PPP) and Interest Rate Parity? How do these concepts influence the determination of exchange rates, and how should businesses		

Session No.	Business Problem	Topic(s) & Discussion Question	Readings (Text Book, Articles, Cases)	Pre-Read
		navigate these fluctuations in the global market?		
20.	How should a multinational firm respond to different exchange-rate regimes, capital mobility, and macroeconomic policies across countries?	Topic(s): • The Mundell-Fleming model • BoP and capital flows • Internal and external balance in BoP • What are the various exchange rate regimes? • Assumptions of the Mundell-Fleming model • What are the effects of fiscal policy under fixed and flexible exchange rates? • What are the effects of monetary policy under fixed and flexible exchange rates? • What is the impossible trinity? Discussion question(s): • How do fiscal and monetary policies impact a country's internal and external balance under different exchange rate regimes	Chapter 9, Pages: 211-236	The impossible trinity: how the free movement of capital comes with a cost Link

Session No.	Business Problem	Topic(s) & Discussion Question	Readings (Text Book, Articles, Cases)	Pre-Read
		according to the Mundell-Fleming model? What strategic considerations should multinational businesses take into account when operating in countries with fixed versus flexible exchange rates? What is the impossible trinity (or the trilemma) in international economics, and how does it constrain the policy choices available to governments? How should businesses prepare for the potential risks and opportunities that arise from these constraints when managing their global operations?		

Note:

1. The course outline has been prepared by the Economics Area.
2. The session plan is indicative. While the faculty concerned will make every effort to follow the session plan, there might be deviations from the proposed session plan due to the dynamic nature of interactive discussions in economics classes.



